

Multiple Choice

1. **Answer:** A

Options: A) Expectations of surpluses of goods in the future; B) A decrease in income taxes; C) An increase in government spending; D) An increase in foreign income

Note: Expectations of surpluses of goods in the future can lead consumers and businesses to reduce their current spending, causing the aggregate demand curve to shift to the left due to anticipated lower prices or excess supply.

2. **Answer:** D

Options: A) is all of the spending done by all of the households in a nation.; B) slopes downward because less spending occurs when prices rise.; C) slopes downward because less spending occurs when income falls.; D) slopes upward because more household spending occurs when income rises.

Note: The correct answer is based on the principle that as household income increases, individuals have more disposable income to allocate toward consumption, leading to an upward slope in total spending.

3. **Answer:** A

Options: A) Nation A has comparative advantage in the production of that good.; B) Nation B has comparative advantage in the production of that good.; C) Nation A has absolute advantage in the production of that good.; D) Nation B has absolute advantage in the production of that good.

Note: Nation A has comparative advantage in the production of the good because it can produce it at a lower opportunity cost, allowing for more efficient resource allocation and trade benefits.

4. **Answer:** D

Options: A) More rapid consumption of natural resources.; B) Higher adult illiteracy rates.; C) A falling stock of capital goods.; D) Investment tax credits.

Note: Investment tax credits encourage businesses to invest in new capital, leading to increased productivity and economic growth over time.

5. **Answer:** D

Options: A) production possibilities.; B) goods and services.; C) unlimited human wants.; D) scarce economic resources.

Note: Land, labor, capital, and entrepreneurial talent are considered scarce economic resources because they are limited in availability and essential for the production of goods and services in an economy.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: When money demand is nearly perfectly elastic, any increase in the money supply may lead to a significant outflow of funds from the banking system, limiting the central bank's ability to stimulate the economy through lower interest rates or increased lending.

7. **Answer:** False

Options: A) True; B) False

Note: The statement is false because marginal social cost actually equals marginal private cost plus marginal external costs, not marginal social benefits.

8. **Answer:** False

Options: A) True; B) False

Note: The Lorenz Curve actually measures income distribution within a single country by illustrating the proportion of total income earned by different segments of the population, rather than comparing income to wealth across different countries.

9. **Answer:** True

Options: A) True; B) False

Note: The removal of the investment tax credit would likely slow a nation's economic growth because it decreases the financial benefits for businesses to invest in new equipment and projects, leading to reduced capital spending and lower overall economic activity.

10. **Answer:** True

Options: A) True; B) False

Note: The increase in production of SUVs does not create a basis for wage differentials among workers because wage differences are primarily influenced by factors such as skill level, experience, and market demand for specific jobs, rather than the type of vehicle being produced.

Long Form Response

11. **Answer:** Supply-side economists believe that changes in taxes can significantly impact aggregate supply and demand in the economy. When taxes are lowered, it is expected that individuals and businesses will have more disposable income, which can increase spending (aggregate demand). However, supply-side economists argue that these tax changes primarily shift aggregate supply by encouraging production and investment. This means that while aggregate demand may increase, the rise in aggregate supply may counterbalance it, leading to a smaller overall effect on real GDP than anticipated. In essence, the interaction between the two forces can limit the potential growth in real GDP resulting from tax changes.

Note: correct because it accurately captures the supply-side economists' perspective

that tax reductions enhance both disposable income and production incentives, thereby shifting aggregate supply and potentially increasing real GDP more significantly than aggregate demand alone.

12. **Answer:** To calculate the reserve ratio, we divide the reserves by the total checking deposits. In this case, the reserve requirement is 250, *and the total checking deposits are 1,000*. Thus, the reserve ratio is *250 divided by 1,000*, which equals 0.25 or 25%. The excess reserves are the total deposits minus the required reserves, so *1,000 minus 250* equals 750. *Finally, the money multiplier is calculated by taking the reciprocal of the reserve ratio, which is 1 divided by 0.25, which equals 4.*
Note: The answer correctly calculates the reserve ratio, excess reserves, and money multiplier by applying the correct formulas.